

4-5g Step 7. Preparing an Adjusted Trial Balance

After the adjustments have been journalized and posted, an adjusted trial balance is prepared to verify the equality of the total of the debit and credit balances. This is the last step before preparing the financial statements. If the adjusted trial balance does not balance, an error has occurred and must be found and corrected. The adjusted trial balance for Kelly Consulting as of April 30, 20Y8, is shown in [Exhibit 14](#).

Exhibit 14

Adjusted Trial Balance, Kelly Consulting

| Kelly Consulting<br>Adjusted Trial Balance<br>April 30, 20Y8 |                |                   |                    |
|--------------------------------------------------------------|----------------|-------------------|--------------------|
|                                                              | Account<br>No. | Debit<br>Balances | Credit<br>Balances |
| Cash .....                                                   | 11             | 22,100            |                    |
| Accounts Receivable .....                                    | 12             | 3,400             |                    |
| Supplies .....                                               | 14             | 1,350             |                    |
| Prepaid Rent .....                                           | 15             | 3,200             |                    |
| Prepaid Insurance .....                                      | 16             | 1,500             |                    |
| Office Equipment .....                                       | 18             | 14,500            |                    |
| Accumulated Depreciation .....                               | 19             |                   | 330                |
| Accounts Payable .....                                       | 21             |                   | 800                |
| Salaries Payable .....                                       | 22             |                   | 120                |
| Unearned Fees .....                                          | 23             |                   | 2,500              |
| Common Stock .....                                           | 31             |                   | 30,000             |
| Dividends .....                                              | 33             | 6,000             |                    |
| Fees Earned .....                                            | 41             |                   | 23,450             |
| Salary Expense .....                                         | 51             | 1,620             |                    |
| Rent Expense .....                                           | 52             | 1,600             |                    |
| Supplies Expense .....                                       | 53             | 850               |                    |
| Depreciation Expense .....                                   | 54             | 330               |                    |
| Insurance Expense .....                                      | 55             | 300               |                    |
| Miscellaneous Expense .....                                  | 59             | 450               |                    |
|                                                              |                | <u>57,200</u>     | <u>57,200</u>      |

